



cautious but should respond fast to accidents in the financial sector. Is this conservatism impacting the business models and profitability of institutions?

I do believe that the Indian regulatory system has done wonderfully for bringing us to where we are... the period [from] 2010 to 2020 was extremely difficult for the financial sector, practitioners, and regulators... I absolutely commend the regulators and the government for bringing us to safe shores. Now, we need to work together... The next challenge is, what does it take for India to achieve 9% dollar-GDP growth or at least 7.5-8% plus real GDP growth for a sustainable [period]. We have done wonderfully

in managing risk in the last five years... however, we need to aspire for sustainable growth. Therefore, managing both risk and growth is crucial. It's important that policymakers, regulators, and practitioners work together for a common dream for India.

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Given the government's continued focus on increasing capital expenditure and public investment through successive Budgets, are we seeing a significant rise in private investment? I think it's getting better, and I believe that as capacity utilisation in the private sector reaches about 75-80%, it's a good time for expansion. However, as corporate India begins

to expand, it will require both equity and debt. That poses a key challenge for us: how can we achieve sustainable growth in both equity and debt, and ensure that both models—saver-borrower and investor-issuer—work effectively, while implementing guardrails to protect savers and investors?

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What are your thoughts on what the start-up ecosystem needs to do as they head towards the public markets? I think the start-up ecosystem is very welcome. However, let's acknowledge that start-ups are inherently more fragile than established companies. Despite this, I believe we should encourage them. There may be some

accidents, but that's why we need better advice and regulation. But let's not try and say because accidents have happened, let's throw the baby [out] with the bathwater. The start-up world has a very positive role. I was very enthused to see the Finance Minister taking up the matter very positively to ensure that the start-up ecosystem continues to be nurtured and flourishes.

I think ultimately over a long period of time, it is going to be about cash flows and visibility of cash flows. In a world where interest rates are now clearly positive real rates, at the end of the day, the concept of discounted cash flow and present value of the future is going to be central to valuation.

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What is your outlook for the softening of interest rates going forward, given RBI's inflation projection at 4.5% for FY25?

If the inflation is at 4.5%, we could see some moderation in interest rates. My expectation is that it will happen closer towards the second half of 2024-25 and we could see some moderation from the current repo rate of 6.5%. However, we should not count on this happening soon because we are also watching what's happening globally. **BT**

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